

MERTON DAILY BRIEF - Wednesday, June 10, 2026

HEADLINE OF THE DAY

* OPEN WAR: US STRIKES IRAN - **Trump orders major military strikes against Iran after a US helicopter was shot down and nuclear negotiations collapsed. IAEA censures Iran for missing uranium stockpiles. Market paradox: oil +10% (WTI \$90.7) but gold -4.5% (\$4,137) as traders price a rapid resolution scenario. US CPI at 4.2% YoY (+0.5% MoM), highest in 3 years. Kevin Warsh confirmed as new Fed Chair, replacing Powell. VIX 21.5 (+40%), S&P 7,330 (-3%).** The world changes today.**

GLOBAL SENTIMENT

****VIX** ? 21.54 (+40.58%) | RISK-OFF**

****S&P 500** ? 7,330 (-2.95%) |**

****NASDAQ** ? 25,430 (-5.30%) | SEVERE**

****DXY** ? 99.96 (-0.10%) | ? STABLE**

****Gold** ? \$4,137 (-4.48%) | CORRECTION**

****Silver** ? \$64.83 (-5.97%) | SEVERE**

****Copper** ? \$6.27 (+0.14%) | ? RESILIENT**

****WTI** ? \$90.72 (+0.20%) | GEOPOL**

****Brent** ? \$93.66 (+0.61%) |**

****BTC** ? \$62,570 (+2.80%) | ? RELATIVE SAFE HAVEN**

****US 10Y** ? 4.52% (+1.05%) | RISING**

****US 30Y** ? 5.01% (+0.58%) |**

****US 5Y** ? 4.25% (+1.48%) |**

Read: The market is in geopolitical shock mode with a devastating inflation overlay. S&P -3%, NASDAQ -5.3% - this is a crisis gap-down. Gold crashes despite the war: traders anticipate a rapid resolution + strong dollar + rising rates = no need for traditional safe-haven. BTC paradoxically green (+2.8%) - rotation to digital safe-haven. VIX doubled in 5 days (15.4 ? 21.5). Long rates explode: 10Y at 4.52%, 30Y at 5.01% - the bond market sends a warning signal.

MACRO - WHAT MOVED

UNITED STATES - DAY OF ALL DANGERS

CPI May at 4.2% YoY (consensus 4.0%, previous 3.8%) - highest in 3 years. Core at 2.9% YoY as expected, but MoM core at 0.2% masks underlying pressures. CPI MoM at 0.5% (consensus 0.4%). The Middle East energy shock is starting to propagate into consumer prices.

Kevin Warsh confirmed Fed Chair by the Senate. Warsh, 55, former Fed governor (2006-2011), is Trump's pick to force rate cuts. His nomination sends a massive political signal: Fed independence is being questioned. Markets react with rising long rates (bear steepening).

Bowman (Fed Governor) warns against hawkish overreach after CPI: she cautions that a hike would be a mistake. Internal Fed divergence is widening - Warsh dovish vs hawkish data.

Yardeni predicts a Fed hike in July to appease "bond vigilantes." Traders are increasing the probability of a hike this year following the hot CPI print. 10Y at 4.52% and 30Y at 5.01%: the bond market is sending an alarm signal.

Dow -650 points in session. MBA Mortgage Applications up 10.8% (refinance boom expected despite rates at 6.6%). MBA Purchase Index rises to 176.9: housing market shows signs of recovery despite elevated rates.

Trump threatens Iran: "They will pay the price" - military strikes after a US helicopter was shot down. Iran nuclear negotiations at a standstill, IAEA censures Iran for missing uranium.

Amazon borrows \$17.5 billion to finance AI - the AI borrowing frenzy continues. Blackstone SpaceX IPO planned with double-digit pop expected. Risk appetite for AI remains intact despite the geopolitical shock.

EUROPE - ECB VS REVOLUT

ECB moves to rein in Revolut's "self-guided missiles" in Europe - fintech regulation is accelerating. Revolut, despite its UK banking license, faces heightened scrutiny in the Eurozone.

Germany tax relief debate - the coalition debates fiscal relief as the reform deadline approaches. After EUR100bn for trains, Berlin targets industrial competitiveness.

EUR/USD at 1.155 (-0.5%): the euro suffers from risk-off but DXY is nearly stable, suggesting flows are going to yen and Swiss franc too. GBP/USD at 1.339 (-0.28%).

Commerzbank raises concerns about the UniCredit takeover bid - the Italian banking sector continues to weigh on European financials.

CHINA - JAPANIFICATION CONFIRMED

FT: "Every slice of China's bond market has now succumbed to Japanisation" - the China/Japan convergence on bond markets is now total. Chinese 10-year bond yields are hitting historic lows.

Chinese oil imports nearly halved following the Iran/Iraq conflict disrupting flows through the Strait of Hormuz. Direct impact on Chinese energy demand and crude prices.

Chinese investors turn to digital bets for exposure to US tech IPOs - crypto and tokenization as an indirect investment vehicle.

EMERGING & MISCELLANEOUS

Brazil: Central Bank seeks to protect Pix autonomy - regulatory standoff underway.

Ghana: booming mining sector propelling faster economic growth.

Argentina: peso drops most in 8 weeks since midterm selloff.

South Africa: SARB sees another rate hike this year due to the war (oil impact).

Hong Kong: fund managers set for pay bump in new tax plan.

Cuba: largest US fuel shipment since Cold War embargo - a diplomatic signal after hostilities.

GEOPOLITICS

HOT

US STRIKES IRAN - After a US helicopter was shot down and nuclear negotiations failed, Trump orders major strikes. Iran is censured by the IAEA for missing uranium stockpiles. This is the most serious military escalation in decades in the Middle East. Immediate impact: oil WTI at \$90.7, Brent at \$93.7, Strait of Hormuz threatened.

Strait of Hormuz under pressure - Iraq and UAE race to establish alternative pipelines as exports through Hormuz dry up. If the strait is blocked, 20% of global oil supply is at stake. Oil could exceed \$120.

Iran nuclear censure by IAEA - Iran's missing uranium fuels fears of an accelerated weapons program. This justifies US strikes in the eyes of the international community.

WATCH

Trump-Modi likely to meet - First summit since Pakistan fallout. India is vulnerable to the oil shock (growth threatened, limited options to avoid fuel shortage).

Russia threatens Armenia over CSTO membership - fragmentation of Russia's military alliance underway.

Bill Gates testifies before Congress about Epstein ties - "error of judgment" according to him. Potential political impact.

UK Unrest - Elon Musk's role in anti-migrant protests in the UK creates diplomatic tensions.

Polymarket: "US x Iran permanent peace deal by June 15" at only 4.35% YES - the prediction market does not believe in a quick resolution.

POSITIVE

Cuba: US fuel delivery - the largest since the embargo, a signal of partial de-escalation in the Americas.

SpaceX IPO - double-digit pop expected, a sign of confidence in the private space sector.

Amazon \$17.5B loan for AI - massive investment in AI continues despite the geopolitical shock.

FX FOCUS

`EUR/USD` ? 1.155 (-0.50%) | ?

`GBP/USD` ? 1.339 (-0.28%) | ?

`USD/JPY` ? 160.48 (+0.34%) |

`USD/CHF` ? 0.799 (+0.95%) |

Analysis: FX is dominated by the geopolitical shock and Fed repositioning. The euro suffers moderately from risk-off (EUR/USD -0.5%) but DXY is nearly stable (-0.1%), meaning safe-haven flows are distributed between JPY, CHF, and USD. The yen strengthens against the euro but weakens against the dollar (USD/JPY at 160.5) - the carry trade remains active despite volatility. The Swiss franc outperforms (+0.95% vs USD): CHF is the true safe-haven in wartime. The pound holds up relatively well (-0.28%) thanks to elevated UK rates.

****Pair to watch:** `USD/JPY` - At 160.5, we are approaching BoJ intervention levels. If the BoJ intervenes, the yen will strengthen significantly.**

COMMODITIES**### Oil - GEOPOLITICAL PREMIUM**

WTI at \$90.72 (+0.20%) | **Brent at \$93.66** (+0.61%)

EIA reports a massive draw of -7.23M barrels (vs -4M expected). API showed -9.12M. This is the largest draw in months.

Oil is pulled by two opposing forces: supply risk (Iran, Hormuz) vs weakened demand (inflation, recession).

China: oil imports nearly halved - the conflict disrupts flows through Hormuz.

Iraq and UAE building alternative pipelines - race against time to bypass Hormuz.

Rystad Energy warns: the current "absolute deficit" could turn into a "humongous surplus" in 2027.

Gold - SELLING PARADOX

Gold at \$4,137 (-4.48%) | **Silver at \$64.83** (-5.97%)

Massive shock to gold: -4.5% in a single day. Gold was at \$4,337 five days ago, having lost \$200.

Why is gold falling despite the war? Traders are pricing a scenario where US strikes force a rapid resolution + strong dollar + rate hikes = no need for traditional safe-haven. "Buy the rumor, sell the fact" is in full effect.

Steve Grasso (Options Action): "Fed opening doors to rate cuts will bring gold higher but may take time."

Bitcoin at \$62,570 (+2.8%) - BTC is taking over the digital safe-haven role. Gold ? BTC rotation is

underway.

Copper & Divers

Copper at \$6.27 (+0.14%) - remarkable resilience despite the shock. Copper benefits from AI/data center demand.

Tin: from "baked beans to AI gravy train" - tin is the metal of the AI revolution (solder).

DR Congo: cobalt curbs - squeeze in vital battery ingredient ahead.

Silver -5.97%: silver suffers doubly (precious metal + industrial metal) in a risk-off environment.

TODAY'S CALENDAR (June 10, 2026)

****12:30 CET** | US CPI MoM/YoY (MAY) - **ALREADY RELEASED**: 0.5%/4.2% (vs 0.4%/4.0% expected)**

****12:30 CET** | US Core CPI MoM/YoY (MAY) - 0.2%/2.9% (vs 0.3%/2.9%)**

? **14:30 CET | EIA Crude Oil Stocks - -7.23M (vs -4M expected)**

? **14:30 CET | EIA Gasoline Stocks - +0.19M**

? **15:30 CET | 17-Week Bill Auction - 3.665%**

? **17:00 CET | 10-Year Note Auction - 4.468%**

? **18:00 CET | Monthly Budget Statement - \$215B (vs -\$275M)**

REST OF THE WEEK

*Thursday, June 11:**

12:30 CET | PPI MoM (MAY) - 1.4% (vs 0.7% expected) - ALREADY RELEASED, very hot

12:30 CET | Core PPI MoM (MAY) - 1.0% (vs 0.3%)

12:30 CET | Initial Jobless Claims - 225K (vs 219K)

? 12:30 CET | Continuing Claims - 1,777K

*Friday, June 12:**

University of Michigan Consumer Sentiment (prelim)

Import/Export Prices

DEEP MACRO THEME

*The world is entering a new regime: Geopolitical Stagflation.**

We are no longer in the 2020-2024 world where the Fed could monetize everything. We are in a world where inflation is fueled by a military supply shock (Iran war, oil \$90+, disrupted supply chains) AND where growth is starting to falter under the weight of rates at 4.5%+.

Kevin Warsh at the Fed is Trump placing his man to force rate cuts. But the May CPI data (4.2%) makes this impossible without triggering a crisis of confidence in the dollar. The 30Y at 5.01%: bond vigilantes are awake. If Warsh cuts rates despite 4% inflation, the dollar collapses and gold explodes to \$5,000+. If he doesn't cut, Trump is furious and growth slows.

The real risk is not recession - it's **stagflation**. A world where inflation stays at 3-4% while growth falls to 1-2%. In this scenario, stocks fall, bonds fall, and only oil, BTC, and real assets outperform.

The Iran war is not an isolated event. It is the symptom of a fragmenting world order: US vs Iran, China japonizing, Russia threatening Armenia, Europe regulating its fintechs. Every region is turning inward. Global trade is contracting. Energy prices are rising. Inflation is back.

"Why now": US strikes on Iran arrive at the worst possible macro moment. Inflation was already rising, markets were complacent about Fed cuts, and VIX was at 15. The geopolitical shock forces a massive repricing of risk. What changes everything: markets can no longer count on the Fed as a safety net.

CONSENSUS VS REALITY - THE ALPHA

What the market is pricing:

1. **"The Iran war will be short"** - Polymarket gives 95.6% chance of NO permanent peace deal by June 15. The prediction market does not believe in a quick resolution. If the war lasts, oil goes to \$120+ and US inflation exceeds 5%.
2. **"The Fed will cut rates in 2026"** - With CPI at 4.2%, PPI at 1.4% MoM, and 10Y at 4.52%, it's impossible. The market still pricing 1-2 cuts this year is in denial. Warsh or no Warsh, the Fed cannot cut with 4% inflation.
3. **"Gold is a safe-haven in wartime"** - Gold falls 4.5% on the day of the war. The market has changed: in 2026, the safe-haven is BTC and cash USD, not gold. Gold only performs when the Fed pivots dovish, which is not the case.
4. **"Oil will calm down"** - WTI at \$90 with the Strait of Hormuz threatened, US stocks in massive draw, and China importing less. The consensus pricing \$75-80 for Q2 is too low. Oil remains supported as long as Hormuz is threatened.
5. **"Tech will bounce back"** - NASDAQ -5.3% with rates rising and geopolitics. Tech is the most sensitive to long rates. If 10Y stays at 4.5%+, the NASDAQ has no rebound catalyst.
6. **"The dollar stays strong"** - DXY at 100, supported by rate differentials and safe-haven flows. This is the correct consensus. The dollar is the "least dirty shirt" in a world in crisis.
7. **"Inflation will naturally subside"** - With oil at \$90+, supply chains disrupted by war, and Trump tariffs still in place, inflation will not subside. May CPI at 4.2% is the beginning of a new rise, not a peak.

The Alpha:

1. **? LONG Oil (WTI) - Target \$110-120** - The Strait of Hormuz is the key. If Iran blocks even part of the strait, the barrel explodes. Invalidation: rapid US-Iran peace deal (probability 4.35% according to Polymarket).
 2. **? LONG USD/CHF - Target 0.82** - CHF outperforms as safe-haven. The SNB has less room to maneuver than the Fed. The pair is at 0.799, momentum is bullish.
 3. **SHORT Gold - Target \$3,800** - Gold does not perform in a rising rate + strong dollar environment. The long gold position is overcrowded. If June CPI confirms the trend, gold corrects to \$3,800.
 4. **? LONG BTC - Target \$75,000+** - BTC acts as the new digital safe-haven. +2.8% on the day of the war while everything else is down. This is a strong signal. Institutional flows into BTC are accelerating.
 5. **SHORT S&P 500 (via puts) - Target 7,000** - The S&P is at 7,330 with VIX at 21.5. If 10Y breaks above 4.6% and Iran escalates, the S&P tests 7,000. Buy 7,200 July puts.
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MERTON'S TAKE

We are on the edge of a major regime change.

June 10, 2026 will be remembered as the day everything shifted. The US strikes Iran, US inflation explodes to 4.2%, and new Fed Chair Warsh inherits an impossible situation. This is not a "passing risk-off" - it is a structural repricing of risk.

The regime we are entering: Geopolitical stagflation. Inflation will not fall below 3% before 2027. US growth will slow to 1.5-2%. Fed rates will remain at 4%+ for 12-18 months. Oil will stay above \$85. The dollar will remain strong.

My positioning:*

LONG oil: the most obvious trade. Hormuz threatened + US stocks in draw = structural upside. Target \$110-120 in the next 3 months.

LONG BTC: the digital safe-haven of 2026. Gold failed this morning. BTC is taking over.

LONG USD/CHF and USD/JPY: the dollar and FX safe-havens are the refuges.

SHORT US equities: the S&P is not done correcting. Earnings will be revised lower with oil inflation.

SHORT long-duration bonds: the 30Y at 5% is just the beginning. Bond vigilantes will push rates higher.

Trade of the week:* Buy WTI \$100 July calls + buy S&P 7200 July puts. This is a geopolitical straddle that profits from volatility in both directions.

What to avoid:* Gold (bearish momentum, rising rates), tech (rate sensitivity), and long-duration bonds (inflation + deficit).

Conviction: 8/10.* The main risk is a surprise Iran ceasefire that collapses oil and bounces stocks. But Polymarket gives only a 4.35% chance of a peace deal before June 15. The odds are in our favor.

Sources: Yahoo Finance API (real-time prices), Bloomberg RSS (markets/economics/politics), FT RSS (home/markets), CNBC (world/fed/oil/gold), Trading Economics (calendar), Polymarket API (Iran peace deal 4.35% YES), ForexFactory (calendar).*

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